



# **COMPETENCY-FOCUSED PRACTICE QUESTIONS**

**ICSE – CLASS X**

**COMMERCIAL  
APPLICATIONS**

## PREFACE

With a growing emphasis on competency-based education globally, the educational landscape in India has also steered towards high-quality learning experiences that allow learners to incorporate critical thinking and problem-solving approaches. This approach goes beyond rote memorisation and focuses on developing the skills and knowledge that students need to apply in their real-world scenarios.

The Council for the Indian School Certificate Examinations (CISCE), as a national-level progressive examination board, has taken several steps to infuse competency-based education in CISCE schools through teacher capacity-building on item development for competency-based assessments and the incorporation of competency-focused questions at the ICSE and ISC levels from the examination year 2024.

To further facilitate the adoption of competency-based assessment practices in schools and to support teachers and students towards the preparation for attempting higher-order thinking questions in future board examinations, Item Banks of **Competency-Focused Practice Questions** for selected subjects at the ICSE and ISC levels have been developed. This Item Bank consists of a rich variety of questions, both objective and subjective in categories, aimed at enhancing the subject-specific critical and analytical thinking skills of the students.

In this Item Bank, each question is accompanied by the topic and cognitive learning domain/s that it intends to capture. The cognitive domains reflected in these questions include understanding, analysis, application, evaluation and creativity, along with some questions of the higher-order recall domain. The Answer Key at the end presents the possible answers to a given question, but it is neither limiting nor exhaustive.

These practice questions are also meant to serve as teacher resources for classroom assignments and as samplers to develop their own repository of competency-focused questions. Apart from offering a good practice of higher-order thinking skills, engaging with these questions would allow students to gauge their own subject competencies and use these *assessments for learning* to develop individual learning pathways.

During the development of this Item Bank, a large pool of questions was prepared by a team of experienced CISCE teachers. The questions that were finalised by the internal and external reviewers as being higher-order competency-focused questions have been collated in this item bank.

I acknowledge and appreciate all the ICSE and the ISC subject matter experts who have contributed to the development and review of these high-quality competency-focused questions for CISCE students.

We are hopeful that teachers and students will utilise these questions to support their teaching-learning processes.

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CISCE

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## COMPETENCY-FOCUSED PRACTICE QUESTIONS

### ICSE - CLASS X

### Commercial Applications

#### I: Multiple Choice Questions (1 Mark)

| S.No. | Questions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
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| 1.    | <p><i>[Understanding Human Resource]</i></p> <p>Human Resource Management (HRM) emphasises the solution of staff problems to achieve both the personal goals of employees and overall organisational objectives.</p> <p>Which feature of HRM does it highlight?</p> <p>(a) Comprehensive function<br/>(b) Action-oriented<br/>(c) People-oriented<br/>(d) Pervasive function</p> <p style="text-align: right;"><b>[Understanding]</b></p>                                                                                                                                                                                             |
| 2.    | <p><i>[Understanding Human Resource]</i></p> <p>Handling employee grievances and improving the quality of employees' work life is _____ function of Human Resource Management.</p> <p>(a) development<br/>(b) compensation<br/>(c) integration<br/>(d) maintenance</p> <p style="text-align: right;"><b>[Understanding]</b></p>                                                                                                                                                                                                                                                                                                       |
| 3.    | <p><i>[Understanding Human Resource]</i></p> <p><b>Based on the two statements (A) &amp; (R) given below choose the appropriate option from the ones that follow:</b></p> <p><b>Assertion(A):</b> HRM is inherent in all the organisations and at all levels.</p> <p><b>Reasoning (R)::</b> HRM is interdisciplinary in nature.</p> <p>(a) Both (A) and (R) are correct, and (R) is the correct explanation of (A).<br/>(b) Both (A) and (R) are correct, but (R) is not the correct explanation of (A)<br/>(c) (A) is true, (R) is false.<br/>(d) (A) is false, (R) is true.</p> <p style="text-align: right;"><b>[Analysis]</b></p> |

| S.No. | Questions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
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| 4.    | <p><i>[Development of Public Relations]</i></p> <p><b>Read the following statements I and II and then choose the most appropriate option below:</b></p> <p><b>Statement I:</b> Public Relations is not propaganda.</p> <p><b>Statement II:</b> In Public Relations, ends can never justify use of deceptive and harmful means .</p> <p>(a) Both the statements are incorrect.<br/> (b) Statement I is correct, but Statement II is incorrect.<br/> (c) Both the statements are correct, and statement II supports Statement I.<br/> (d) Both the statements are correct, but statement II does support statement I.</p> <p style="text-align: right;"><b>[Analysis]</b></p>                               |
| 5.    | <p><i>[Development of Public Relations]</i></p> <p><b>Based on the two statements (A) &amp; (R) given below choose the appropriate option from the ones that follow:</b></p> <p><b>Assertion(A):</b> Geo-thermal energy is a reliable, stable source unaffected by changes in weather conditions</p> <p><b>Reasoning(R):</b> The cost of investigation, exploration and drilling are quite high.</p> <p>(a) Both (A) and (R) are correct, and (R) is the correct explanation of (A).<br/> (b) Both (A) and (R) are correct, but (R) is not the correct explanation of (A)<br/> (c) (A) is true, (R) is false.<br/> (d) (A) is false, (R) is true.</p> <p style="text-align: right;"><b>[Analysis]</b></p> |
| 6.    | <p><i>[Understanding Human Resource]</i></p> <p>The post of senior accountant in ARK Associates has fallen vacant due to the sudden demise of Mrs. Dutt. Mention the function of Human Resource Management that will be undertaken now.</p> <p>(a) Procurement<br/> (b) Developmental<br/> (c) Maintenance<br/> (d) Compensation</p> <p style="text-align: right;"><b>[Understanding]</b></p>                                                                                                                                                                                                                                                                                                             |
| 7.    | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p>A doctor has to be present in the Operation Theatre while performing surgery on a patient. Which feature of Service does it point to?</p> <p>(a) Perishability<br/> (b) Inseparability<br/> (c) Intangibility<br/> (d) Variability</p> <p style="text-align: right;"><b>[Understanding &amp; Application]</b></p>                                                                                                                                                                                                                                                                                                                    |

| S.No. | Questions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
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| 8.    | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p><b>Based on the two statements (A) &amp; (R) given below, choose the appropriate option from the ones that follow:</b></p> <p><b>Assertion(A):</b> Advertising is an impersonal form of communication.</p> <p><b>Reason(R):</b> Advertising is less flexible as the message is standardised and is not tailor-made to the requirements of different customers.</p> <p>(a) A is true, but R is false.<br/> (b) A is false, but R is true<br/> (c) Both A and R are true, and R explains A<br/> (d) Both A and R are true, but R does not explain A.</p> <p style="text-align: right;"><b>[Analysis]</b></p> |
| 9.    | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p>Nike is selling its apparels through offers and contests with prizes Which method of promotion is mentioned here?</p> <p>(a) Sales promotion<br/> (b) Personal selling<br/> (c) Brand promotion<br/> (d) Publicity</p> <p style="text-align: right;"><b>[Understanding &amp; Application]</b></p>                                                                                                                                                                                                                                                                                                          |
| 10.   | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p>Identify the type of advertising in the picture.</p> <div data-bbox="577 1187 1102 1653" data-label="Image"> </div> <p>(a) Institutional advertising<br/> (b) Informative advertising<br/> (c) Reminder advertising<br/> (d) Consumer advertising</p> <p style="text-align: right;"><b>[Application]</b></p>                                                                                                                                                                                                                                                                                               |

| S.No.      | Questions                                                                                                                                                                                                                                                                                                                                                                              |
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| <p>11.</p> | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p>Identify the promotion method mentioned in the above picture.</p>  <p>(a) Sales promotion<br/>(b) Personal selling<br/>(c) Coupons<br/>(d) Channel of distribution</p> <p style="text-align: right;"><b>[Understanding]</b></p> |
| <p>12.</p> | <p><i>[Understanding Human Resource]</i></p> <p>An off-the-job training method in which trainees are taught problem-solving skills.</p> <p>(a) Internship training<br/>(b) Case study<br/>(c) Sensitivity training<br/>(d) Role-playing</p> <p style="text-align: right;"><b>[Understanding]</b></p>                                                                                   |
| <p>13.</p> | <p><i>[Understanding Finance]</i></p> <p>Which of the following is not a fixed cost for a hotel?</p> <p>(a) Bank loan repayment<br/>(b) Waiting-staff wages<br/>(c) Air-conditioning bills<br/>(d) Rent to the property owner</p> <p style="text-align: right;"><b>[Understanding]</b></p>                                                                                             |
| <p>14.</p> | <p><i>[Understanding Finance]</i></p> <p>Examples of variable costs for a motor vehicle manufacturer do NOT include:</p> <p>(a) costs of raw material<br/>(b) piece rate payment system<br/>(c) costs of component parts<br/>(d) insurance costs</p> <p style="text-align: right;"><b>[Recall]</b></p>                                                                                 |

| S.No. | Questions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
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| 15.   | <p><i>[Understanding Finance]</i></p> <p>Overheads are BEST described as:</p> <p>(a) Cost that varies with the output level in the short run.<br/> (b) Costs that are fixed in the short run.<br/> (c) Costs that must be paid to generate output.<br/> (d) Costs from non-operating activities.</p> <p><b>[Understanding]</b></p>                                                                                                                                                                                                                                                                                                                       |
| 16.   | <p><i>[Understanding Finance]</i></p> <p><b>Based on the two statements (A) &amp; (R) given below, choose the appropriate option from the ones that follow:</b></p> <p><b>Assertion (A):</b> Semi-fixed costs are those costs which vary but not in direct proportion to changes in the volume of production.</p> <p><b>Reason (R):</b> These costs vary in total amount but remain constant per production unit.</p> <p>(a) Both A and R are incorrect.<br/> (b) A is correct, but R is not the correct explanation for A.<br/> (c) A is correct, and R is the correct explanation for A.<br/> (d) Only A is correct.</p> <p><b>[Understanding]</b></p> |
| 17.   | <p><i>[Understanding Finance]</i></p> <p>According to the Matching Principle concept of accounting, which of the following statements applies?</p> <p>(i) The cost of a particular period should be charged from the revenue of the same period only.<br/> (ii) It suggests that every debit has a corresponding and equal credit.<br/> (iii) The business will continue to exist for a long time in the future.<br/> (iv) It provides guidelines as to how the expenses are to be matched with revenue.</p> <p>(a) (i) &amp; (iii)<br/> (b) (ii) &amp; (iii)<br/> (c) (i) &amp; (iv)<br/> (d) only (iii)</p> <p><b>[Understanding]</b></p>              |
| 18.   | <p><i>[Understanding Finance]</i></p> <p>Spice Jet Ltd. charges for customers hot meals, snacks, and beverages separately, along with the rest of flight charges.</p> <p>Identify the type of cost.</p> <p>(a) Fixed cost<br/> (b) Variable cost<br/> (c) Indirect cost<br/> (d) Direct cost</p> <p><b>[Analysis]</b></p>                                                                                                                                                                                                                                                                                                                                |

| S.No. | Questions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
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| 19.   | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p>Which is the MOST important feature of personal selling?</p> <p>(a) Art<br/>(b) Oral<br/>(c) Flexibility<br/>(d) Long-lasting relationship</p> <p style="text-align: right;"><b>[Analysis]</b></p>                                                                                                                                                                                                                                                                                                                                                                                   |
| 20.   | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p><b>Read the following statements I and II and then choose the most appropriate option below:</b></p> <p><b>Statement A:</b> Marketing is a wider term which does not include selling.<br/><b>Statement B:</b> Selling is obtaining orders from customers.</p> <p>(a) Statement A is true, and Statement B is false.<br/>(b) Statement A is false, and Statement B is true.<br/>(c) Both Statements are true.<br/>(d) Both Statements are false.</p> <p style="text-align: right;"><b>[Analysis]</b></p>                                                                              |
| 21.   | <p><i>[Understanding Finance]</i></p> <p><b>Based on the two statements (A) &amp; (R) given below, choose the appropriate option from the ones that follow:</b></p> <p><b>Assertion(A):</b> The central bank exercises control over the credit-granting capacity of commercial banks.<br/><b>Reason(R):</b> Commercial banks may give finance for unproductive purposes.</p> <p>(a) Both A and R are true, and R is the correct explanation of A.<br/>(b) Both A and R are true, and R is not the correct explanation of A.<br/>(c) A is true, but R is false.<br/>(d) R is true, but A is false.</p> <p style="text-align: right;"><b>[Analysis]</b></p> |
| 22.   | <p><i>[Understanding Finance]</i></p> <p>The clearing house facility is a function of the central bank, which means:</p> <p>(a) custodian of foreign currencies.<br/>(b) making finance to build houses.<br/>(c) give finance to the government.<br/>(d) settling claim of commercial banks.</p> <p style="text-align: right;"><b>[Recall]</b></p>                                                                                                                                                                                                                                                                                                        |

| S.No. | Questions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
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| 23.   | <p><i>[Understanding Finance]</i></p> <p>Which of the following statements is(are) correct?</p> <ul style="list-style-type: none"> <li>i. Fixed deposits are also known as time deposits, which last for a long period.</li> <li>ii. Saving deposit accounts can open with the maximum amount specified.</li> <li>iii. The depositor can withdraw money along with interest on the maturity date.</li> <li>iv. Saving deposit accounts is not to develop the habit of saving amongst the people.</li> </ul> <ul style="list-style-type: none"> <li>(a) i and ii are correct</li> <li>(b) ii and iii are correct</li> <li>(c) i and iii are correct.</li> <li>(d) Only ii is correct.</li> </ul> <p style="text-align: right;"><b>[Analysis]</b></p>                                                                                                                                                                                                                                                                                                                                                                                |
| 24.   | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p>In sales, the ability to effectively close deals is a crucial skill that separates a good salesperson from a great one. It involves much more than merely presenting the product or service; it is a comprehensive process that includes understanding the customer's needs, building a relationship, and, finally, sealing the deal.</p> <p>Source: <a href="https://www.linkedin.com/pulse/art-salesmanship-mastering-techniques-closing-deals-jason-miller">https://www.linkedin.com/pulse/art-salesmanship-mastering-techniques-closing-deals-jason-miller</a></p> <p>Based on the passage above, which of the following statements is CORRECT about selling?</p> <ul style="list-style-type: none"> <li>(a) Selling is just presenting a product to the customer</li> <li>(b) It is not required to understand the requirements of customers</li> <li>(c) Selling is only completing the sales deal and getting commitment from the customers</li> <li>(d) It is a comprehensive process.</li> </ul> <p style="text-align: right;"><b>[Analysis]</b></p> |
| 25.   | <p><i>[Understanding Finance]</i></p> <p>Which statement is appropriate for the cheque?</p> <ul style="list-style-type: none"> <li>(a) A cheque is drawn by a bank.</li> <li>(b) A cheque cannot be made payable to bearer.</li> <li>(c) A person who receives a cheque will pay collection charges.</li> <li>(d) The payment of a cheque cannot be so quickly stopped.</li> </ul> <p style="text-align: right;"><b>[Recall]</b></p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |

| S.No. | Questions                                                                                                                                                                                                                                                                                                                                                                                           |
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| 26.   | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p>There is no scope for an increase in sales, and the sales curve stays at the same level. To which stage of the product life cycle does the above statement refer?</p> <p>(a) Growth Stage<br/>(b) Maturity Stage<br/>(c) Introduction Stage<br/>(d) Decline Stage</p> <p style="text-align: right;"><b>[Understanding]</b></p> |
| 27.   | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p>Price mix does NOT involve decision regarding_____.</p> <p>(a) quality<br/>(b) discounts<br/>(c) allowances<br/>(d) credit</p> <p style="text-align: right;"><b>[Understanding]</b></p>                                                                                                                                        |
| 28.   | <p><i>[Understanding Finance]</i></p> <p>The financial statement similar to Profit &amp; Loss account, prepared by Help Age India is_____.</p> <p>(a) income &amp; expenditure a/c<br/>(b) receipts &amp; payments a/c<br/>(c) balance sheet<br/>(d) cash book</p> <p style="text-align: right;"><b>[Understanding]</b></p>                                                                         |
| 29.   | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p>Identify which of the following is NOT an application-based market.</p> <p>(a) Ray-Ban<br/>(b) Blinkit<br/>(c) BigBasket<br/>(d) Myntra</p> <p style="text-align: right;"><b>[Analysis]</b></p>                                                                                                                                |
| 30.   | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p>In decline stage, the strategy adopted to evade sharp decline is _____.</p> <p>(a) customer service<br/>(b) selective promotion<br/>(c) developing new markets<br/>(d) selective distribution</p> <p style="text-align: right;"><b>[Understanding]</b></p>                                                                     |

| S.No. | Questions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
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| 31.   | <p><i>[Understanding Finance]</i></p> <p>With reference to the balance sheet of a non-trading organisation, which statement is(are) correct?</p> <ul style="list-style-type: none"> <li>i. It is always prepared for a specified period.</li> <li>ii. It is a statement.</li> <li>iii. Assets are shown on the credit side, and liabilities are shown on the debit side.</li> <li>iv. It depicts the organisation's capital fund.</li> </ul> <ul style="list-style-type: none"> <li>(a) ii and iv</li> <li>(b) i and iii</li> <li>(c) Only iv</li> <li>(d) Only i</li> </ul> <p style="text-align: right;"><b>[Understanding]</b></p>                                |
| 32.   | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p><b>Based on the two statements (A) &amp; (R) given below, choose the appropriate option from the ones that follow:</b></p> <p><b>Assertion (A):</b> The marketing mix is dynamic in nature.</p> <p><b>Reason (R):</b> Marketing mix helps in pursuing customer-oriented marketing.</p> <ul style="list-style-type: none"> <li>(a) A is true, but R is false.</li> <li>(b) A is false, but R is true</li> <li>(c) Both A &amp; R are true, and R explains A.</li> <li>(d) Both A &amp; R are true, but R does not explain A.</li> </ul> <p style="text-align: right;"><b>[Understanding]</b></p> |
| 33.   | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <div style="text-align: center;">  </div> <p>From the given picture, identify the pricing strategy adopted by the company for its products.</p> <ul style="list-style-type: none"> <li>(a) Going Rate policy</li> <li>(b) Parity Pricing</li> <li>(c) Skimming Pricing</li> <li>(d) Penetrating Pricing</li> </ul> <p style="text-align: right;"><b>[Understanding &amp; Application]</b></p>                                                                                                                   |

| S.No. | Questions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
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| 34.   | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p>Sai Vikrant Ltd, manufacturers of home appliances, conduct a survey to identify retailers who can sell their products across the metro cities. Identify the channel of distribution.</p> <p>(a) Manufacturer--Consumer<br/> (b) Manufacturer-Wholesaler-Consumer<br/> (c) Manufacturer-Retailer-Consumer<br/> (d) Manufacturer-Wholesaler-Retailer-Consumer</p> <p style="text-align: right;"><b>[Application]</b></p> |

## II: Very Short Answer Questions (1 Mark)

| Fill in the blanks from questions 35 to 40 with the appropriate term/phrase. |                                                                                                                                                                                                                     |
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| 35.                                                                          | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p>_____ an element of marketing mix, determines the purchasing power of a consumer.</p> <p style="text-align: right;"><b>[Understanding]</b></p> |
| 36.                                                                          | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p>Amway is an example of _____ market.</p> <p style="text-align: right;"><b>[Application]</b></p>                                                |
| 37.                                                                          | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p>Advertising costs tend to be considered as _____ cost of a product.</p> <p style="text-align: right;"><b>[Recall]</b></p>                      |
| 38.                                                                          | <p><i>[Understanding Finance]</i></p> <p>Rent and insurance costs are considered as _____ costs for most businesses.</p> <p style="text-align: right;"><b>[Recall]</b></p>                                          |
| 39.                                                                          | <p><i>[Understanding Human Resource]</i></p> <p>_____ is an external source of recruitment which recruits semi-skilled and unskilled personnel.</p> <p style="text-align: right;"><b>[Recall]</b></p>               |
| 40.                                                                          | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p>A product is technology-based, whereas a service is _____-based.</p> <p style="text-align: right;"><b>[Recall]</b></p>                         |
| State True or False for the statements given in questions 41 to 51.          |                                                                                                                                                                                                                     |
| 41.                                                                          | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p>Channel of distribution creates possession utility.</p> <p style="text-align: right;"><b>[Understanding]</b></p>                               |
| 42.                                                                          | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p>Companies producing consumer durables generally opt for parity pricing.</p> <p style="text-align: right;"><b>[Application]</b></p>             |

|     |                                                                                                                                                                                                              |
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| 43. | <i>[Understanding the Basics of Markets and Marketing]</i><br>Personal selling cannot do a complete job of selling. <span style="float: right;"><b>[Recall]</b></span>                                       |
| 44. | <i>[Understanding Finance]</i><br>While opening a bank account, there is no need to keep any initial balance in the account. <span style="float: right;"><b>[Recall]</b></span>                              |
| 45. | <i>[Understanding Finance]</i><br>Fixed deposit account holders will get a chequebook for transactions. <span style="float: right;"><b>[Recall]</b></span>                                                   |
| 46. | <i>[Understanding Finance]</i><br>All items or facts, whether material or immaterial, are recorded in business. <span style="float: right;"><b>[Recall]</b></span>                                           |
| 47. | <i>[Understanding Finance]</i><br>Variable costs are those that do not change. <span style="float: right;"><b>[Recall]</b></span>                                                                            |
| 48. | <i>[Understanding Human Resource]</i><br>Labour turnover and absenteeism are reduced because the employees are well-trained. <span style="float: right;"><b>[Analysis]</b></span>                            |
| 49. | <i>[Understanding the Basics of Markets and Marketing]</i><br>A long-term routine activity that supplements personal selling is called Sales promotion. <span style="float: right;"><b>[Analysis]</b></span> |
| 50. | <i>[Development of Public Relations]</i><br>Empathy and sympathy are two essential elements of Public Relations. <span style="float: right;"><b>[Recall]</b></span>                                          |
| 51. | <i>[Understanding Human Resource]</i><br>Orientation Training may be avoided by an organisation. <span style="float: right;"><b>[Understanding]</b></span>                                                   |

### III: Short Answer Questions (2 Marks)

| S.No                                                                                                     | Questions                                                                                                                                                                                        |
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| <b>For questions 52 to 65, justify the given statements with arguments FOR or AGAINST the statement.</b> |                                                                                                                                                                                                  |
| 52.                                                                                                      | <i>[Understanding Human Resource]</i><br>Human Resource Management is a pervasive function. <span style="float: right;"><b>[Understanding &amp; Analysis]</b></span>                             |
| 53.                                                                                                      | <i>[Development of Public Relations]</i><br>Renewable sources of energy must be substituted for non-renewable sources wherever possible. <span style="float: right;"><b>[Application]</b></span> |
| 54.                                                                                                      | <i>[Understanding the Basics of Markets and Marketing]</i><br>Services are variable. <span style="float: right;"><b>[Evaluate]</b></span>                                                        |
| 55.                                                                                                      | <i>[Understanding Human Resource]</i><br>Gate hiring helps to fill permanent vacancies. <span style="float: right;"><b>[Evaluate]</b></span>                                                     |
| 56.                                                                                                      | <i>[Understanding the Basics of Markets and Marketing]</i><br>Elimination of middlemen helps to reduce prices for consumers. <span style="float: right;"><b>[Analysis]</b></span>                |
| 57.                                                                                                      | <i>[Understanding Finance]</i><br>A Business survives forever. <span style="float: right;"><b>[Understanding]</b></span>                                                                         |
| 58.                                                                                                      | <i>[Understanding Finance]</i><br>Every transaction is recorded in at least <i>three</i> accounts. <span style="float: right;"><b>[Understanding]</b></span>                                     |
| 59.                                                                                                      | <i>[Understanding Finance]</i><br>There are certain costs which are neither totally fixed nor fully variable. <span style="float: right;"><b>[Understanding]</b></span>                          |
| 60.                                                                                                      | <i>[Understanding Finance]</i><br>The stability of the exchange rate will encourage foreign investment. <span style="float: right;"><b>[Analysis]</b></span>                                     |
| 61.                                                                                                      | <i>[Understanding Finance]</i><br>Current account holders will get a maximum amount of interest on their savings. <span style="float: right;"><b>[Understanding]</b></span>                      |
| 62.                                                                                                      | <i>[Understanding the Basics of Markets and Marketing]</i><br>Personal selling is a one-way process. <span style="float: right;"><b>[Understanding]</b></span>                                   |

| S.No                                                                             | Questions                                                                                                                                                                             |
|----------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 63.                                                                              | <i>[Understanding the Basics of Markets and Marketing]</i><br>In a future market, buyers and sellers make contracts without the motive of actual delivery of goods. <b>[Evaluate]</b> |
| 64.                                                                              | <i>[Understanding Finance]</i><br>Receipts and payments account discloses the excess or shortage for the year. <b>[Evaluate]</b>                                                      |
| 65.                                                                              | <i>[Understanding the Basics of Markets and Marketing]</i><br>In the introduction stage of PLC prices are usually low. <b>[Evaluate]</b>                                              |
| <b>For questions 66 to 74, distinguish between the two terms/concepts given.</b> |                                                                                                                                                                                       |
| 66.                                                                              | <i>[Understanding Human Resource]</i><br>Human Relations and Public Relations. <b>[Understanding &amp; Analysis]</b>                                                                  |
| 67.                                                                              | <i>[Understanding Human Resource]</i><br>Job analysis and job evaluation. <b>[Understanding &amp; Analysis]</b>                                                                       |
| 68.                                                                              | <i>[Understanding Human Resource]</i><br>Preliminary Interview and Selection Interview. <b>[Understanding]</b>                                                                        |
| 69.                                                                              | <i>[Understanding Finance]</i><br>Direct Expenses and Indirect Expenses. <b>[Understanding]</b>                                                                                       |
| 70.                                                                              | <i>[Understanding Finance]</i><br>Overdraft and cash credit. <b>[Analysis]</b>                                                                                                        |
| 71.                                                                              | <i>[Understanding Finance]</i><br>Stale cheque and post-dated cheque. <b>[Analysis]</b>                                                                                               |
| 72.                                                                              | <i>[Understanding the Basics of Markets and Marketing]</i><br>Sales by inspection and Sales by description. <b>[Analysis]</b>                                                         |
| 73.                                                                              | <i>[Understanding the Basics of Markets and Marketing]</i><br>Capital market and Money market. <b>[Analysis]</b>                                                                      |
| 74.                                                                              | <i>[Understanding Finance]</i><br>Receipts & payments account and Income & expenditure Account. <b>[Analysis]</b>                                                                     |
| 75.                                                                              | <i>[Development of Public Relations]</i><br>What duties should be followed by a dutiful consumer when purchasing a washing machine? <b>[Understanding]</b>                            |

| S.No | Questions                                                                                                                                                                                                                                                                                                                                  |
|------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 76.  | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p>‘Advertising tempts people to buy goods which they cannot afford.’</p> <p>Which criticism of advertising is mentioned here? Explain. <span style="float: right;">[Analysis]</span></p>                                                                                |
| 77.  | <p><i>[Understanding Human Resource]</i></p> <p>How is inbreeding a demerit to an internal source of recruitment? <span style="float: right;">[Understanding]</span></p>                                                                                                                                                                   |
| 78.  | <p><i>[Understanding Human Resource]</i></p> <p>Rohan attended an interview for the manager’s post. The interviewer criticised him and intentionally put him in an awkward situation. What type of interview is mentioned here? Explain. <span style="float: right;">[Application]</span></p>                                              |
| 79.  | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <div style="text-align: center;">  </div> <p>Identify the type of advertisement mentioned in the picture and explain it briefly. <span style="float: right;">[Application]</span></p> |
| 80.  | <p><i>[Understanding Finance]</i></p> <p>Why do specimen signatures play an important role in opening a bank account? <span style="float: right;">[Understanding]</span></p>                                                                                                                                                               |
| 81.  | <p><i>[Understanding Finance]</i></p> <p>How would discounting bills be useful for businessmen? <span style="float: right;">[Application]</span></p>                                                                                                                                                                                       |
| 82.  | <p><i>[Understanding Finance]</i></p> <p>Why is the demand draft a convenient method of payment? <span style="float: right;">[Understanding]</span></p>                                                                                                                                                                                    |
| 83.  | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p>OYO, Treebo, Fab Hotels come under Hospitality Industry. Name the pricing strategy generally adopted by such competitors. Give one reason. <span style="float: right;">[Application]</span></p>                                                                       |

| S.No | Questions                                                                                                                                                                                                                                                                                                                                            |
|------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 84.  | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p>On the basis of position of buyers and sellers, what type of market is D Mart?</p> <p><b>[Application]</b></p>                                                                                                                                                                  |
| 85.  | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <div data-bbox="517 533 1102 875"></div> <p>From the given picture, identify the direct selling method adopted by the company. Give one merit of Direct selling.</p> <p><b>[Application]</b></p> |

### IV: Long Answer Questions (5 Marks)

| S.No | Questions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 86.  | <p><i>[Development of Public Relations]</i></p> <p>Explain why stockholder relations with business corporations is important. What are the main means of communication with them? <span style="float: right;">[Understanding]</span></p>                                                                                                                                                                                                                                                                                                                                                                       |
| 87.  | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p>‘Advertising aims to put a product or service in the spotlight in hopes of drawing it attention from consumers.’</p> <p>With reference to the statement, explain the features of advertising. <span style="float: right;">[Understanding]</span></p>                                                                                                                                                                                                                                                                                      |
| 88.  | <p><i>[Understanding Human Resource]</i></p> <div style="text-align: center;">  </div> <p>(a) Identify and name the selection procedure displayed in the picture above. Explain any two types of the same. <span style="float: right;">[Application]</span></p> <p>(b) Share the procedure of selection of employees in an organisation. <span style="float: right;">[Understanding]</span></p> <p>(c) List any two types of training which follows after selection. <span style="float: right;">[Understanding]</span></p> |
| 89.  | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p>Elucidate the difference between sales and selling process. <span style="float: right;">[Recall &amp; Understanding]</span></p>                                                                                                                                                                                                                                                                                                                                                                                                           |
| 90.  | <p><i>[Understanding Finance]</i></p> <p>How do commercial banks lend money to businesses? <span style="float: right;">[Understanding]</span></p>                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| 91.  | <p><i>[Understanding Finance]</i></p> <p>Ajay wanted to open an account in State Bank of India. What are the different steps he needs to follow to open an account? <span style="float: right;">[Understanding]</span></p>                                                                                                                                                                                                                                                                                                                                                                                     |

| S.No | Questions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 92.  | <p><i>[Understanding Finance]</i></p> <div style="text-align: center;">  <div> <b>भारतीय रिज़र्व बैंक</b><br/> <b>RESERVE BANK OF INDIA</b> </div> </div> <p>(a) Define the category of the bank mentioned in the above picture. What is the role of RBI?<br/>[Recall &amp; Application]</p> <p>(b) How does RBI provide:</p> <ul style="list-style-type: none"> <li>(i) clearing house facility?</li> <li>(ii) acts as a banker's bank? [Understanding]</li> </ul> <p>(c) How does the RBI deal with:</p> <ul style="list-style-type: none"> <li>(i) foreign exchange rate?</li> <li>(ii) custodian of foreign currency reserves? [Recall &amp; Understanding]</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| 93.  | <p><i>[Understanding Finance]</i></p> <p>Based on the information given below, answer the questions from</p> <p>The State Bank of India (SBI) offers a special fixed deposit for senior citizens known as SBIWeCare, which gives higher interest rates to senior citizens for terms ranging from 5 to 10 years. SBI offers 0.50% higher interest rates to senior citizens, interest rates on regular fixed deposits vary between 3.50% and 7.50% for tenures ranging from 7 days to 10 years. The bank offers 7.50% interest on SBI Wecare special FD. The last date to invest in SBI Wecare is March 31, 2024. The scheme is available on fresh deposits and renewal of maturing deposits.</p> <p>Source: <a href="https://economictimes.indiatimes.com/wealth/invest/sbi-wecare-special-fd-for-senior-citizens-with-higher-interest-rate-deadline-what-is-the-fd-rate/articleshow/108345102.cms">https://economictimes.indiatimes.com/wealth/invest/sbi-wecare-special-fd-for-senior-citizens-with-higher-interest-rate-deadline-what-is-the-fd-rate/articleshow/108345102.cms</a></p> <p>(a) What are the advantages of fixed deposits for the senior citizen in the context of the above case study?<br/>[Analysis &amp; Understanding]</p> <p>(b) Explain <i>any other two</i> accounts senior citizens can open in SBI other than fixed deposit accounts.<br/>[Understanding]</p> |
| 94.  | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p>Artificial Intelligence and electric cars are in the Second Stage of PLC.</p> <p>State <i>four</i> features of the stage.<br/>[Understanding]</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |

| S.No | Questions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 95.  | <p><i>[Understanding the Basics of Markets and Marketing]</i></p> <p>With Amazon Great India Festival and Flipkart Big Billion Days kicking off with much fervour, the e-commerce giants have released some interesting figures. Surprisingly, most customers were from non-metro cities, according to all major retailers.</p> <p>Amazon revealed that OnePlus, Samsung and Apple were the most-sold smartphone brands.</p> <p>The rise in demand for premium smartphones priced above Rs. 30,000 grew thrice compared to 2022, while tablets saw twice the growth.</p> <p>Flipkart said mobiles, appliances, lifestyle, beauty, general merchandise, electronics, and home products saw the most orders across the country.</p> <p>Source: <a href="https://www.theweek.in/news/biz-tech/2023/10/11">https://www.theweek.in/news/biz-tech/2023/10/11</a> (edited)</p> <p>(a) If smartphones are in the PLC where the third level market is emerging, in which stage of PLC are smartphones? Explain the features of the stage.</p> <p style="text-align: right;"><b>[Analysis &amp; Understanding]</b></p> <p>(b) State <i>five</i> strategies smartphone companies can adopt to lengthen the stage identified in (a).</p> <p style="text-align: right;"><b>[Understanding]</b></p> <p>(c) Which method of direct selling do Amazon and Flipkart follow? List <i>four</i> reasons why direct selling is becoming popular.</p> <p style="text-align: right;"><b>[Analysis, Recall &amp; Understanding]</b></p> |

| S.No | Questions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 96.  | <p data-bbox="284 282 986 320"><i>[Understanding the Basics of Markets and Marketing]</i></p> <div data-bbox="493 387 1208 889">  </div> <p data-bbox="284 943 1422 1182">           (a) Identify and explain the traditional channel of distribution normally preferred for the products given in the picture.<br/>           (b) Name and explain the pricing strategy adopted for the goods shown in the picture.<br/>           (c) Explain the following:<br/>               (i) Tele market.<br/>               (ii) Markets on the basis of the nature of goods.         </p> <p data-bbox="884 1196 1422 1234" style="text-align: right;"><b>[Application, Understanding &amp; Recall]</b></p> |
| 97.  | <p data-bbox="284 1267 734 1305"><i>[Development of Public Relations]</i></p> <div data-bbox="432 1335 911 1693">  </div> <p data-bbox="284 1749 1422 1877">           (a) With reference to the above picture, identify and discuss the particular cause which results in ecological damage. <span style="float: right;"><b>[Understanding &amp; Application]</b></span><br/>           (b) Explain <i>three</i> other causes of ecological destruction. <span style="float: right;"><b>[Analysis]</b></span> </p>                                                                                                                                                                                   |

### Answer Key

| S.No | Expected Answer                                                                                         |
|------|---------------------------------------------------------------------------------------------------------|
| 1.   | (b) Action-oriented                                                                                     |
| 2.   | (c) integration                                                                                         |
| 3.   | (b) Both Assertion and Reasoning are true, but Reasoning is not the correct explanation of Assertion.   |
| 4.   | (c) Both the statements are correct, and Statement II supports Statement I.                             |
| 5.   | (b) Both Assertion and Reasoning are correct, but Reasoning is not the correct explanation of Assertion |
| 6.   | (a) Procurement                                                                                         |
| 7.   | (a) Inseparability                                                                                      |
| 8.   | (d) Both A and R are true, but R does not explain A.                                                    |
| 9.   | (a) Sales promotion                                                                                     |
| 10.  | (b) Informative advertising                                                                             |
| 11.  | (a) Sales promotion                                                                                     |
| 12.  | (b) case study                                                                                          |
| 13.  | (c) Air-conditioning bills                                                                              |
| 14.  | (d) Insurance costs                                                                                     |
| 15.  | (d) Costs from non -operating activities                                                                |
| 16.  | (c) A is correct, but R is not correct explanation to A                                                 |
| 17.  | (c) (i) & (iv)                                                                                          |
| 18.  | (b) Variable Cost                                                                                       |
| 19.  | (d) Long-lasting relationship                                                                           |
| 20.  | (b) Statement A is False, and Statement B is True.                                                      |
| 21.  | (b) Both A & R are true, and R is the correct explanation of A.                                         |

| S.No | Expected Answer                                               |
|------|---------------------------------------------------------------|
| 22.  | (d) settling claim of commercial banks.                       |
| 23.  | (c) i and iii are correct.                                    |
| 24.  | (d) It is a comprehensive process.                            |
| 25.  | (c) A person who receives cheque will pay collection charges. |
| 26.  | (b) Maturity Stage                                            |
| 27.  | (a) quality                                                   |
| 28.  | (a) Income & Expenditure a/c                                  |
| 29.  | (a) Ray-Ban                                                   |
| 30.  | (b) selective promotion                                       |
| 31.  | (a) ii and iv                                                 |
| 32.  | (c) Both A & R are true, and R explains A.                    |
| 33.  | (c) Skimming Pricing                                          |
| 34.  | (c) Manufacturer-Retailer-Consumer                            |
| 35.  | Price                                                         |
| 36.  | network                                                       |
| 37.  | variable                                                      |
| 38.  | fixed                                                         |
| 39.  | Employment exchange                                           |
| 40.  | people / person                                               |
| 41.  | True                                                          |
| 42.  | True                                                          |
| 43.  | False                                                         |
| 44.  | False                                                         |
| 45.  | False                                                         |
| 46.  | False                                                         |

| S.No | Expected Answer                                                                                                                                                                                                                                                                     |
|------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 47.  | False                                                                                                                                                                                                                                                                               |
| 48.  | True                                                                                                                                                                                                                                                                                |
| 49.  | False                                                                                                                                                                                                                                                                               |
| 50.  | False ( <i>empathy is an important element of PR which means looking at things from others' point of view, but sympathy is not an element of PR</i> )                                                                                                                               |
| 51.  | False ( <i>It is to familiarise new employees with the company, the work environment and the existing employees to make workers comfortable and start work confidently.</i> )                                                                                                       |
| 52.  | <i>For:</i><br>It is inherent in all organizations and at all levels.<br>It is equally necessary in industries, armed forces, sports organizations etc.                                                                                                                             |
| 53.  | <i>For:</i><br>Renewable sources are replenished by nature whereas non-Renewable resources are not.<br>Renewable resources are pollution free whereas majority of non-renewable resources create pollution.                                                                         |
| 54.  | <i>For:</i><br>Services differs from person to person. It cannot be standardised.                                                                                                                                                                                                   |
| 55.  | <i>Against:</i><br>Through gate hiring, factories will choose the candidates who have gathered near the factory gate. It is used to fill temporary and casual vacancies.                                                                                                            |
| 56.  | <i>For:</i><br>Advertisements establish a direct link between the manufacturers and consumers. Direct contact helps to reduce the price for the consumers.                                                                                                                          |
| 57.  | <i>For:</i><br>On this assumption, a distinction is made between capital expenditure and revenue expenditure.<br>Fixed costs are recorded at their original cost, less depreciation, and their market value is not recorded, as these assets are not to be sold in the near future. |
| 58.  | <i>Against:</i><br>Whenever a transaction is recorded, it must record at least in two accounts, to balance the equation.<br>According to the dual aspect principle, every debit has a corresponding credit.                                                                         |

| S.No | Expected Answer                                                                                                                                                                                                                                                                                                                            |
|------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 59.  | <p><i>For:</i></p> <p>They are the combination of fixed and variable costs and are called semi-fixed costs or semi-variable costs.</p> <p>These costs vary but in indirect proportion to changes in production volume.</p>                                                                                                                 |
| 60.  | <p><i>For:</i></p> <p>The central monitors the exchange rate of the home currency compared to other countries.</p>                                                                                                                                                                                                                         |
| 61.  | <p><i>Against:</i></p> <p>Current account is opened by businessmen where the bank pays no interest but makes a small charge on current account.</p>                                                                                                                                                                                        |
| 62.  | <p><i>Against:</i></p> <p>Personal selling is not one way but a two-way process because it deals with persuading consumers and listening to the feedback of consumers.</p>                                                                                                                                                                 |
| 63.  | <p><i>For:</i></p> <p>As the purpose is to make profit out of fluctuations.</p>                                                                                                                                                                                                                                                            |
| 64.  | <p><i>Against:</i></p> <p>As Receipts and Payments, a/c records all receipts and payments irrespective of their nature and period, surplus or deficit for the year cannot be known.</p>                                                                                                                                                    |
| 65.  | <p><i>Against:</i></p> <p>In the introduction stage, because of small-scale production and heavy promotional expenditure, prices are generally high.</p>                                                                                                                                                                                   |
| 66.  | <p>Human Relations: Focuses on procuring, developing and preserving employees and manages work-related issues</p> <p>Public Relations: Focuses on building and maintaining the external image and reputation of the Organisation.</p> <p><i>The second point may consist of the definitions of each.</i></p>                               |
| 67.  | <p>(i) Job analysis: to study in detail the operations and responsibilities of a job</p> <p>Job evaluation: determination of the relative worth of a job.</p> <p>(ii) Job analysis: the purpose is to identify the nature of Human Resources required for the Job.</p> <p>Job evaluation helps to develop a suitable salary structure.</p> |

| S.No                                                          | Expected Answer                                                                                                                                                                                                                                                                                                                                                           |                |              |                                                     |                                                      |                                                               |                         |
|---------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|--------------|-----------------------------------------------------|------------------------------------------------------|---------------------------------------------------------------|-------------------------|
| 68.                                                           | <p>A preliminary interview is a brief interview conducted by the receptionist or other officials to ascertain the qualifications, experience, age, etc.</p> <p>Selection Interview provides a means of checking the information obtained through application forms and tests.</p>                                                                                         |                |              |                                                     |                                                      |                                                               |                         |
| 69.                                                           | <p><i>Direct expenses</i></p> <p>Which can be wholly and directly identified with a particular product. For example, hire charges for a machine used for a particular job.</p> <p><i>Indirect expenses</i></p> <p>These expenses cannot be wholly and directly identified with a specific product or job.</p>                                                             |                |              |                                                     |                                                      |                                                               |                         |
| 70.                                                           | <p>(i) Overdraft is a revolving credit arrangement. Cash credit is a revolving credit arrangement.</p> <p>(ii) Overdraft is for a few days. Cash credit is for a longer period.</p>                                                                                                                                                                                       |                |              |                                                     |                                                      |                                                               |                         |
| 71.                                                           | <p>(i) A stale cheque is presented more than three months after the date written on it. A post-dated cheque is presented before the date written on it.</p> <p>(ii) A stale cheque cannot be presented again. Post-dated cheques can be presented gain.</p>                                                                                                               |                |              |                                                     |                                                      |                                                               |                         |
| 72.                                                           | <p>(i) In sales by inspection method, buyers will inspect the goods before purchase. Goods may be sold through catalogues, circulars, etc., for sale by description.</p> <p>(ii) Selling by inspection is necessary when goods are standardised. Sales by description widens the market.</p>                                                                              |                |              |                                                     |                                                      |                                                               |                         |
| 73.                                                           | <table border="1"> <thead> <tr> <th>Capital Market</th><th>Money Market</th></tr> </thead> <tbody> <tr> <td>Provides long term finance to business enterprises.</td><td>Provides short term finance to business enterprises.</td></tr> <tr> <td>Stock exchange, financial institutions, insurance companies.,</td><td>Various types of banks.</td></tr> </tbody> </table> | Capital Market | Money Market | Provides long term finance to business enterprises. | Provides short term finance to business enterprises. | Stock exchange, financial institutions, insurance companies., | Various types of banks. |
| Capital Market                                                | Money Market                                                                                                                                                                                                                                                                                                                                                              |                |              |                                                     |                                                      |                                                               |                         |
| Provides long term finance to business enterprises.           | Provides short term finance to business enterprises.                                                                                                                                                                                                                                                                                                                      |                |              |                                                     |                                                      |                                                               |                         |
| Stock exchange, financial institutions, insurance companies., | Various types of banks.                                                                                                                                                                                                                                                                                                                                                   |                |              |                                                     |                                                      |                                                               |                         |

| S.No            | Expected Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                               |  |       |                         |                          |        |                                                |                                                      |                 |                       |                          |        |                                              |                                              |                 |                                              |                              |                |                           |                                  |       |                                                               |                                                               |                 |                                                                 |                            |
|-----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------|--|-------|-------------------------|--------------------------|--------|------------------------------------------------|------------------------------------------------------|-----------------|-----------------------|--------------------------|--------|----------------------------------------------|----------------------------------------------|-----------------|----------------------------------------------|------------------------------|----------------|---------------------------|----------------------------------|-------|---------------------------------------------------------------|---------------------------------------------------------------|-----------------|-----------------------------------------------------------------|----------------------------|
| 74.             | <table><tr><td>Basis</td><td>Receipts &amp; Payments a/c</td><td>Income &amp; Expenditure a/c</td></tr><tr><td>Nature</td><td>It is a summary of cash receipts and payments.</td><td>It is like Profit and Loss a/c of a trading concern.</td></tr><tr><td>Type of account</td><td>It is a real account.</td><td>It is a nominal account.</td></tr><tr><td>Object</td><td>To know cash balance at the end of the year.</td><td>To ascertain surplus at the end of the year.</td></tr><tr><td>Nature of items</td><td>Both capital and revenue items are recorded.</td><td>Contains only revenue items.</td></tr><tr><td>Non-cash items</td><td>Contains only cash items.</td><td>It contains non-cash items also.</td></tr><tr><td>Sides</td><td>Receipts are shown on debit side and payments on credit side.</td><td>Expenditure is shown on debit side and Income on credit side.</td></tr><tr><td>Opening balance</td><td>It starts with the opening balance of cash in hand and at bank.</td><td>It has no opening balance.</td></tr></table> |                                                               |  | Basis | Receipts & Payments a/c | Income & Expenditure a/c | Nature | It is a summary of cash receipts and payments. | It is like Profit and Loss a/c of a trading concern. | Type of account | It is a real account. | It is a nominal account. | Object | To know cash balance at the end of the year. | To ascertain surplus at the end of the year. | Nature of items | Both capital and revenue items are recorded. | Contains only revenue items. | Non-cash items | Contains only cash items. | It contains non-cash items also. | Sides | Receipts are shown on debit side and payments on credit side. | Expenditure is shown on debit side and Income on credit side. | Opening balance | It starts with the opening balance of cash in hand and at bank. | It has no opening balance. |
| Basis           | Receipts & Payments a/c                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Income & Expenditure a/c                                      |  |       |                         |                          |        |                                                |                                                      |                 |                       |                          |        |                                              |                                              |                 |                                              |                              |                |                           |                                  |       |                                                               |                                                               |                 |                                                                 |                            |
| Nature          | It is a summary of cash receipts and payments.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | It is like Profit and Loss a/c of a trading concern.          |  |       |                         |                          |        |                                                |                                                      |                 |                       |                          |        |                                              |                                              |                 |                                              |                              |                |                           |                                  |       |                                                               |                                                               |                 |                                                                 |                            |
| Type of account | It is a real account.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | It is a nominal account.                                      |  |       |                         |                          |        |                                                |                                                      |                 |                       |                          |        |                                              |                                              |                 |                                              |                              |                |                           |                                  |       |                                                               |                                                               |                 |                                                                 |                            |
| Object          | To know cash balance at the end of the year.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | To ascertain surplus at the end of the year.                  |  |       |                         |                          |        |                                                |                                                      |                 |                       |                          |        |                                              |                                              |                 |                                              |                              |                |                           |                                  |       |                                                               |                                                               |                 |                                                                 |                            |
| Nature of items | Both capital and revenue items are recorded.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Contains only revenue items.                                  |  |       |                         |                          |        |                                                |                                                      |                 |                       |                          |        |                                              |                                              |                 |                                              |                              |                |                           |                                  |       |                                                               |                                                               |                 |                                                                 |                            |
| Non-cash items  | Contains only cash items.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | It contains non-cash items also.                              |  |       |                         |                          |        |                                                |                                                      |                 |                       |                          |        |                                              |                                              |                 |                                              |                              |                |                           |                                  |       |                                                               |                                                               |                 |                                                                 |                            |
| Sides           | Receipts are shown on debit side and payments on credit side.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Expenditure is shown on debit side and Income on credit side. |  |       |                         |                          |        |                                                |                                                      |                 |                       |                          |        |                                              |                                              |                 |                                              |                              |                |                           |                                  |       |                                                               |                                                               |                 |                                                                 |                            |
| Opening balance | It starts with the opening balance of cash in hand and at bank.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | It has no opening balance.                                    |  |       |                         |                          |        |                                                |                                                      |                 |                       |                          |        |                                              |                                              |                 |                                              |                              |                |                           |                                  |       |                                                               |                                                               |                 |                                                                 |                            |
| 75.             | <div>1.Get the cash memo.</div> <div>2.Check Quality and insist on a warranty card.</div> <div>3.Get educated about the gadget beforehand.</div>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                               |  |       |                         |                          |        |                                                |                                                      |                 |                       |                          |        |                                              |                                              |                 |                                              |                              |                |                           |                                  |       |                                                               |                                                               |                 |                                                                 |                            |

| S.No | Expected Answer                                                                                                                                                                                                                                                                                                                                                                                |
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| 76.  | Extravagance. Consumers are tempted to buy products that they cannot afford. They do not hesitate even to adopt corrupt practices.                                                                                                                                                                                                                                                             |
| 77.  | When all higher-level vacancies are filled by promoting present employees, new ideas and fresh thinking may not enter the organisation.                                                                                                                                                                                                                                                        |
| 78.  | Stress interview. The purpose of this interview is to see how a candidate reacts in an awkward situation. The reaction of a candidate in stressful conditions is judged.                                                                                                                                                                                                                       |
| 79.  | Concept advertising. Its purpose is to stimulate demand for new products. Advertisement designed to change the lifestyle of people is concept advertising.                                                                                                                                                                                                                                     |
| 80.  | The bank asks applicants to give two or three specimen signatures when they open an account. Whenever the need arises, the signature of the account holder can be verified with a specimen signature card and the signatures on cheques.                                                                                                                                                       |
| 81.  | Businessmen receive bills of exchange from their customers who buy goods on credit. Commercial banks pay the amount of a bill before the maturity date after deducting some discount charges, so the businessman gets cash beforehand.                                                                                                                                                         |
| 82.  | The demand draft is payable to the person named in it, and it is very safe. This is drawn by the bank, so it will never bounce.                                                                                                                                                                                                                                                                |
| 83.  | Parity Pricing.<br>i. When it is very difficult to measure costs.<br>ii. Safe policy in an Oligopolistic market.<br>iii. When products are homogeneous, and competition is severe.<br>iv. Less troublesome and less costly than an individualistic pricing strategy.                                                                                                                           |
| 84.  | Terminal Market. This is a market where retailers sell their goods to the consumers.                                                                                                                                                                                                                                                                                                           |
| 85.  | Retail Outlet<br>Merits of Direct selling ( <i>any one</i> ):<br>i. The channel is very fast and economical.<br>ii. The producer has direct contact with the consumers.<br>iii. Full control over distribution.                                                                                                                                                                                |
| 86.  | Stockholders invest in a company. Management should consider them as actual owners and provide an accurate picture of the organisation. A shareholder relationships program is important to reduce shareholder criticism and organised opposition to Management.<br><br>Both written communication and personal contacts like reports, shareholder 's meeting, films and lectures can be used. |

| S.No | Expected Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
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| 87.  | <p>Features of advertising-</p> <ol style="list-style-type: none"> <li>Non-personal- There is no face-to-face contact between the advertiser and customers.</li> <li>Mass communication -The message is directed is a to method a large of</li> <li>number of persons.</li> <li>Paid communication: Some money has to be paid for every advertisement to the medium which conveys the message. The advertiser has to pay for the space of disseminating the message.</li> <li>Identified Sponsor: An advertisement is issued by an identified sponsor. The name of the advertiser is mentioned in the advertisement itself.</li> <li>Information and Persuasion: The basic purpose of an advertisement is to inform customers about some product or service and to persuade them to buy it.</li> </ol>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| 88.  | <p>(a) Interview.</p> <p>Two types of interviews (<i>any two</i>)</p> <ol style="list-style-type: none"> <li><u>Structured or planned Interview</u>: This interview is systematically planned in advance. The questions to be asked and the time to be allowed to a candidate are decided in advance. This is the most common type of selection interview.</li> <li><u>Unstructured or Non-Directive Interview</u>: This interview is not planned. The questions to be asked and the expected reactions have not been decided. Candidates are asked their views on relevant matters. This type of interview requires experienced interviewers.</li> <li><u>Group Interview</u>: In this interview, a group of candidates are interviewed simultaneously. They are given a problem to discuss, and candidates express their views on the problem. The interviewers judge the views and initiatives taken by the candidates.</li> <li><u>Panel or Board Interview</u>: In this type of interview, the candidate is interviewed by a panel or board of selectors. Different interviewers ask questions on different topics. The candidate is judged based on a combined rating by the panel.</li> <li><u>Stress Interview</u>: The purpose of this interview is to see how candidates react to awkward questions and difficult situations. The interviewer deliberately adopts a hostile attitude by asking questions rapidly, criticising the candidate, etc. The reactions of the candidate to stressful conditions are judged. If the candidate keeps his cool, he is selected.</li> </ol> <p>(b) Procedure of selection of employees in an organisation:</p> <ol style="list-style-type: none"> <li>Preliminary Interview</li> <li>Application form</li> <li>Employment test</li> <li>Checking references</li> <li>Medical examination</li> <li>Final approval</li> </ol> <p>(c) Types of training</p> <ol style="list-style-type: none"> <li>Orientation training</li> <li>Job training</li> </ol> |

| S.No | Expected Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
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| 89.  | <ul style="list-style-type: none"> <li>i. Sales refers to the total amount of goods and services sold by a firm. Selling process is a step taken by a salesperson.</li> <li>ii. Sales is an end result of the process of the selling.</li> <li>iii. Selling process is an ongoing process while sales is known as end of period.</li> <li>iv. Sales is a quantitative term whereas selling process is not quantitative term.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                  |
| 90.  | <ul style="list-style-type: none"> <li>i. Overdraft: It means an arrangement under which a current account holder is allowed to withdraw more than the balance to his credit up to specified limit.</li> <li>ii. Cash credit: In this arrangement bank advance cash loan to the borrower against some tangible security.</li> <li>iii. Discounting of bills: Businessman receives bill of exchange from their customers who buy goods on credit. Commercial banks pay amount of the bill before the day of maturity after deducting discounting discount charges.</li> <li>iv. d. Loan and advances: Bank advance fixed lump sum fixed amount to the borrower for an agreed period. The borrower may withdraw the whole amount at once or as per his needs.</li> </ul>                                                                   |
| 91.  | <ul style="list-style-type: none"> <li>i. Applications in prescribed form: Person will apply in that bank on applications form which contain information of different accounts.</li> <li>ii. Introduction of the applicant: As there is a contract between bank and customers bank needs that the applicant needs to be introduced by the existing account holder.</li> <li>iii. Specimen signature: The applicant is asked to give specimen signature card. Whenever bank requires, they verify account holder signature with specimen signature card.</li> <li>iv. Photographs: Due to frauds, bank insists on photographs which is affixed on specimen signature card to prevent frauds.</li> <li>v. Initial deposit: Account holder need to deposit an initial amount. This amount is differed according to bank to bank.</li> </ul> |

| S.No | Expected Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
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| 92.  | <p>(a) A central bank. It is the apex bank which supervised and control the entire banking system. It regulates money supply and credit control in the country. The central bank act as lender for the others bank. Its purpose not to earn profit but render services to the government, banking, and whole county.</p> <p>(b) (i) As a clearing house facility central bank settles the claims of commercial banks. It settles the bank claims though books of entries. The daily balance of various commercial bank is settles by the central bank.</p> <p>(ii) The central bank provides cash to the commercial bank. When commercial bank requires fund, they demand from the central bank. Central bank also credit granting capacity of commercial bank.</p> <p>(c) (i) The central bank is the sole custodian of gold and foreign exchange. It manages these reserves judiciously to stabilise the exchange rate.</p> <p>(ii) The central bank monitors the exchange rate of the home currencies in relation with foreign currencies. It tries to maintain stability in order to promote country's trade.</p> |
| 93.  | <p>(a) Higher rate of interest so senior citizen will more amount at the date of maturity and they can withdraw money at the time of maturity which will gives financial security for them. (1mark)</p> <p>(b) <u>Saving deposit account</u>: Any person can open as per their needs with minimum specified amount. Despite can be made any number of times in a week. Account holder will get cheque book and passbook.</p> <p><u>Recurring account</u>: Account holder required to deposit a specific amount every month. After expiry of maturity date account holder will get lump sum amount along with interest. The number of instalments can be vary from 12 to 72. A passbook is provided for a reference. (2mark)</p>                                                                                                                                                                                                                                                                                                                                                                                       |
| 94.  | <p>The second stage of PLC is Growth stage.</p> <p>In this stage:</p> <ol style="list-style-type: none"> <li>the demand and sales grow rapidly.</li> <li>distribution is widened.</li> <li>competition increases, and prices fall.</li> <li>promotional focus shifts from 'buy my product' to 'buy my brand'.</li> <li>the firm expands sales by increasing market share in the existing markets and by entry into new markets.</li> <li>the promotional expenses are high but fall as a percentage of sales turnover.</li> </ol>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |

| S.No | Expected Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
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| 95.  | <p>(a) According to the given case the smartphones are in the Maturity stage of PLC.</p> <p>Features:</p> <ol style="list-style-type: none"> <li>Sales continue to grow but at a decreasing rate.</li> <li>Competition increases further and markets get stabilised.</li> <li>Due to competition prices are reduced but promotional expenses are high.</li> <li>Profits decline and marginal producers are forced to go out of the market.</li> <li>New models of the product are introduced.</li> <li>Supply exceeds demand for the first time.</li> <li>No possibility of increase in sales and the sales curve is levelling off.</li> <li>This stage is characterised by product differentiation, product improvement and identification of new market segments.</li> </ol> <p>(b) The maturity stage may be lengthened by using the following strategies:</p> <ol style="list-style-type: none"> <li>Differentiating the product from competitive products.</li> <li>Focussing on brand image.</li> <li>Extending the warranty period.</li> <li>Introducing reusable packaging.</li> <li>Developing new markets.</li> <li>Finding new uses of the product.</li> </ol> <p>(c) Amazon and Flipkart use the latest method of Direct selling, On-line marketing or Internet marketing.</p> <p>Direct selling is becoming popular due to:</p> <ol style="list-style-type: none"> <li>Increasing cut-throat competition</li> <li>Need for control over distribution costs.</li> <li>Wide product lines</li> <li>Technical nature of products</li> <li>Availability of public warehouses</li> <li>Desire to reduce dependence on middlemen.</li> <li>Scattered markets.</li> <li>Modern means of communication</li> </ol> |

| S.No | Expected Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
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| 96.  | <p>(a) The preferred traditional channel of distribution is manufacturer-wholesaler-retailer-consumer.</p> <ol style="list-style-type: none"> <li>This channel is suitable where the producer has limited finance.</li> <li>Producer has a narrow product line.</li> <li>Where the wholesalers are specialised and provide strong promotional support.</li> <li>Most convenient channel for products with widely scattered markets.</li> </ol> <p>(any two)</p> <p>(b) The pricing strategy generally adopted is Penetrating Pricing. (any two)</p> <ol style="list-style-type: none"> <li>It involves setting a low price in the initial stage.</li> <li>The objective is to make the brand quickly popular and to maximise the market share.</li> <li>Mostly used to launch fast-moving consumer goods.</li> <li>Results in high sales volume during the initial stages of a product's life cycle.</li> <li>This strategy is adopted to operate on the principle of low mark-up and higher volume.</li> <li>It is an aggressive strategy used to restrict the entry of new firms in the industry.</li> </ol> <p>(c) (i) Tele market is a non-traditional market.</p> <ul style="list-style-type: none"> <li>The product is advertised and demonstrated on television and in the newspapers.</li> <li>Customers place orders on the toll-free number and orders are executed through courier.</li> </ul> <p>(ii) Markets based on nature of goods:</p> <ul style="list-style-type: none"> <li>Consumers' Market: This market is where goods are purchased for personal consumption.</li> <li>Producers' Market: This is a market where goods are purchased for use in further production.</li> </ul> |
| 97.  | <p>(a) Tourism.</p> <p>The development of tourism, especially in areas with rich natural resources, has led to the destruction of the ecosystem. Tourism has caused the loss of freshwater systems and habitats. Even Mount Everest has been littered with hazardous wastes.</p> <p>(b) Population growth, industrialisation, transport, the dwelling of business units, transport, mining, and agriculture. (elaborate on any three)</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |



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